

SWOT Analysis

Solar Energy Installation Business in Pakistan

According to the course material, SWOT analysis evaluates a firm's internal strengths and weaknesses alongside external opportunities and threats. Strengths are tied to core competencies and key assets; weaknesses to skills gaps and managerial capacity issues; opportunities to observable market trends; and threats are framed through the Five Forces model.

STRENGTHS (Core Competencies & Key Assets) - Core competency: Fast, reliable local installation & strong after-sales support - Physical assets: Warehouse, tools, vehicles, and solar panel inventory - Human asset: Trained technical team with hands-on solar expertise - Customer relationships: Trust built through community presence and word-of-mouth - Strong value proposition: Customers save money on every electricity bill	WEAKNESSES (Skills Gaps & Managerial Issues) - Skills gap: Shortage of certified solar technicians in smaller cities - Managerial capacity problem: Founders risk being overwhelmed as business grows - Financial gap: Limited initial capital restricts inventory range and marketing - No established brand reputation as a new market entrant - Supply chain vulnerability due to dependence on imported panels from China
OPPORTUNITIES (External Trends & Market Gaps) - Opportunity gap: Millions of homes still not solar-powered – massive untapped market - Economic force: Rising tariffs (Rs. 60–70/unit) shorten customer payback periods - Social trend: Growing environmental awareness and health-conscious consumers - Political force: Government net metering policy and AEDB subsidies support growth - Technological advance: Improving panel efficiency and battery storage options	THREATS (Five Forces & External Risks) - Threat of new entrants: Low barriers attract more local installers each year - Threat of substitutes: Generators, grid electricity, and battery-only solutions - Rivalry: Established Chinese brands compete aggressively on price - Political/regulatory: Inconsistent government energy policy risks demand - Economic: Currency depreciation raises cost of imported equipment

SWOT Strategic Implications

S-O Strategy	Use Strengths to Capture Opportunities
	Leverage the core competency of reliable local service to capture the massive opportunity gap in underserved cities. Market the electricity savings value proposition strongly to customers already frustrated with rising tariffs.
W-O Strategy	Fix Weaknesses to Exploit Opportunities

	Address the skills gap by training technicians in-house and hire an operations manager early to prevent the managerial capacity problem from limiting growth as project volume increases.
S-T Strategy	Use Strengths to Manage Threats
	Differentiate from rivals and new entrants by building a strong local brand around quality installation and trusted after-sales service – something price-focused competitors cannot easily replicate.
W-T Strategy	Minimize Weaknesses to Avoid Threats
	Reduce supply chain risk by building relationships with multiple suppliers and maintaining buffer inventory to protect against currency-driven price spikes on imported panels.

— End of SWOT Analysis —